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Legendary Investor

Benjamin Graham: Three Timeless Principles

Daniel Myers, Investopedia 02.23.09, 6:00 PM ET

Warren Buffett is widely considered to be one of the greatest investors of all time, but if you were to ask him who he thinks is the greatest investor, he would probably mention one man: his teacher [Benjamin Graham](#). Graham was an investor and investing mentor who is generally considered to be the father of security analysis and [value investing](#).

His ideas and methods on investing are well documented in his books *Security Analysis* (1934) and *The Intelligent Investor* (1949), which are two of the most famous investing books. These texts are often considered to be requisite reading material for any investor, but they aren't easy reads. Here, we'll condense Graham's main investing principles and give you a head start on understanding his winning philosophy.

Principle No. 1: Always Invest With a Margin of Safety

[Margin of safety](#) is the principle of buying a security at a significant discount to its [intrinsic value](#), which is thought to not only provide high-return opportunities but also to minimize the downside risk of an investment. In simple terms, Graham's goal was to buy assets worth \$1 for 50 cents. He did this very, very well.

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To Graham, these business assets may have been valuable because of their stable earning power or simply because of their liquid cash value. It wasn't uncommon, for example, for Graham to invest in stocks in which the [liquid assets](#) on the balance sheet (net of all debt) were worth more than the total [market cap](#) of the company (also known as "net nets" to Graham followers). This means that Graham was effectively buying businesses for nothing. While he had a number of other strategies, this was the typical investment strategy for Graham. (For more on this strategy, read "[What Is Warren Buffett's Investing Style?](#)")

This concept is very important for investors to note, as value investing can provide substantial profits once the market inevitably re-evaluates the stock and raises its price to [fair value](#). It also provides protection on the downside if things don't work out as planned and the business falters. The safety net of buying an underlying business for much less than it is worth was the central theme of Graham's success. When stocks are chosen carefully, Graham found that a further decline in these undervalued equities occurred infrequently.

While many of Graham's students succeeded using their own strategies, they all shared the main idea of the "margin of safety."

Principle No. 2: Expect Volatility and Profit From It

Investing in stocks means dealing with [volatility](#). Instead of running for the exits during times of market stress, the smart investor greets downturns as chances to find great investments. Graham illustrated this with the analogy of "Mr. Market," the imaginary business partner of each and every investor. Mr. Market offers investors a daily price quote at which he would either buy an investor out or sell his share of the business. Sometimes, he will be excited about the prospects for the business and quote a high price. Other times, he will be depressed about the business's prospects and will quote a low price.

Because the stock market has these same emotions, the lesson here is that you shouldn't let Mr. Market's views dictate your own emotions or, worse, lead you in your investment decisions. Instead, you should form your own estimates of the business's value based on a sound and rational examination of the facts. Furthermore, you should only buy when the price offered makes sense and sell when the price becomes too high. Put another way, the market *will* fluctuate--sometimes wildly--but rather than fearing volatility, use it to your advantage to get bargains in the market or to sell out when your holdings become way [overvalued](#).

Here are two strategies that Graham suggested to help mitigate the negative effects of market volatility:

--Dollar-cost averaging: Achieved by buying equal dollar amounts of investments at regular intervals. It takes advantage of dips in the price and means that an investor doesn't have to be concerned about buying his or her entire position at the top of the market. Dollar-cost averaging is ideal for passive investors and alleviates them of the responsibility of choosing when and at what price to buy their positions. (For more, read "[DCA: It Gets You In At The Bottom](#)" and "[Dollar-Cost Averaging Pays.](#)")

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--Investing in stocks and bonds: Graham recommended distributing one's portfolio evenly between [stocks](#) and [bonds](#) as a way to preserve capital in market downturns while still achieving growth of capital through bond income. Remember, Graham's philosophy was, first and foremost, to preserve capital, and *then* to try to make it grow. He suggested having 25% to 75% of your investments in bonds, and varying this based on market conditions. This strategy had the added advantage of keeping investors from boredom, which leads to the temptation to participate in unprofitable trading (i.e., speculating). (To learn more, read "[The Importance Of Diversification.](#)")

Principle No. 3: Know What Kind of Investor You Are

Graham said investors should know their investment selves. To illustrate this, he made clear distinctions among various groups operating in the stock market.

Active vs. passive: Graham referred to [active](#) and [passive investors](#) as "enterprising investors" and "defensive investors."

You only have two real choices: The first is to make a serious commitment in time and energy to become a good investor who equates the quality and amount of hands-on research with the expected return. If this isn't your cup of tea, then be content to get a passive, and possibly lower, return but with much less time and work. Graham turned the academic notion of "risk = return" on its head. For him, "work = return." The more work you put into your investments, the higher your return should be.

If you have neither the time nor the inclination to do quality research on your investments, then investing in an [index](#) is a good alternative. Graham said that the defensive investor could get an average return by simply buying the 30 stocks of the [Dow Jones industrial average](#) in equal amounts. Both Graham and Buffett said getting even an average return--for example, equaling the return of the [S&P 500](#)--is more of an accomplishment than it might seem.

The fallacy that many people buy into, according to Graham, is that if it's so easy to get an average return with little or no work (through indexing), then just a little more work should yield a slightly higher return. The reality is that most people who try this end up doing much worse than average.

In modern terms, the defensive investor would be an investor in index funds of both stocks and bonds. In essence, they own the entire market, benefiting from the areas that perform the best without trying to predict those areas ahead of time. In doing so, an investor is virtually guaranteed the market's return and avoids doing worse than average by just letting the stock market's overall results dictate long-term returns. According to Graham, beating the market is much easier said than done, and many investors still find they don't beat the market. (To learn more, read "[Index Investing.](#)")

Speculator vs. investor: Not all people in the stock market are investors. Graham believed that it was critical for people to determine whether they were investors or [speculators](#). The difference is simple: An investor looks at a stock as part of a business and the stockholder as the owner of the business, while the speculator views himself as playing with expensive pieces of paper with no [intrinsic value](#). For the speculator, value is only determined by what someone will pay for the asset. To paraphrase Graham, there is intelligent speculating as well as intelligent investing--just be sure you understand which you are good at.

Commentary

Graham's basic ideas are timeless and essential for long-term success. He bought into the notion of buying stocks based on the underlying value of a business and turned it into a science at a time when almost all investors viewed stocks as speculative. Graham served as the first great teacher of the investment discipline, as evidenced by those in his intellectual bloodline who developed their own. If you want to improve your investing skills, it doesn't hurt to learn from the best; Graham continues to prove his worth in his disciples, such as Buffett, who have made a habit of beating the market.

Below you will find a table of stocks Forbes recently identified based on the Benjamin Graham screen of the [American Association of Individual Investors](#).

Company	Description	Market Cap (\$mil)	Price/Earnings	Yield
Spartan Motors	Auto & truck manufacturers	152	3.1	2.1%
Euroseas	Water transportation	168	2.7	14.5
Signet Jewelers	Retail	608	3.5	538.6
Ternium S.A. (ADR)	Iron & steel	2,007	2.1	5
United States Steel	Iron & steel	4,006	1.9	3.5

Source: [AAll Stock Investor Pro](#)

- The price-to-earnings ratio is among the lowest 10% of the database (percent rank less than or equal to 10).
- The current ratio for the last fiscal quarter (Q1) is greater than or equal to 1.5.
- The long-term debt to working capital ratio for the last fiscal quarter (Q1) is greater than 0% and less than 110%.
- Earnings per share for each of the last five fiscal years and for the last 12 months have been positive.
- The company intends to pay a dividend over the next year (indicated dividend is greater than zero).
- The company has paid a dividend over the last 12 months.
- Earnings per share for the last 12 months is greater than the earnings per share from five years ago (Y5).
- Earnings per share for the last fiscal year (Y1) is greater than the earnings per share from five years ago (Y5).
- The price-to-book ratio is less than or equal to 1.2.

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